

104th GENERAL ASSEMBLY

State of Illinois

2027 - 2028

AN ACT concerning regulation.

Be it enacted by the People of the State of Illinois, represented in the General Assembly:

Section 1. Short Title.

This Act may be cited as the Medical Payment Data Protection Act.

Section 5. Legislative Purpose and Findings.

- (1) Medical patients in Illinois are routinely required to provide credit card information.
- (2) Healthcare entities are high-value cyberattack targets.
- (3) PCI-DSS discourages the storage of sensitive cardholder data.
- (4) Patients should not be forced to put a credit card on file.
- (5) It is in the public interest to reduce financial fraud risk.

Section 10. Definitions.

"Medical provider" means any licensed healthcare entity in Illinois.

"Credit card information" means any cardholder data.

"Store or keep" means to save or maintain data in any form.

"Third-party payment processor" means a PCI-DSS-compliant vendor preventing provider access to full
card data.

Section 15. Prohibition of the Storage of Credit Card Information.

- (a) A provider may not store, keep, or record patient credit card information.
- (b) Credit card data may be collected only for immediate, onetime processing.
- (c) Providers may not require a card on file as a condition of care.
- (d) Providers may use PCI-compliant third-party processors.
- (e) Applies to all payment methods.

Section 20. Patient Notification.

Providers must inform patients that no card data is stored and care cannot be denied for refusing a card

on file.

Section 25. Enforcement; Penalties.

(a) Negligent violations: civil penalty up to \$2,500 per violation.

(b) Knowing of repeated violations: up to \$10,000 per violation.

(c) Attorney General enforcement is allowed.

(d) Private rights of action with statutory damages and attorney's fees.

Section 30. Whistleblower Protections.

Employees reporting violations are protected from retaliation.

Section 35. Rulemaking Authority.

The Department of Public Health may adopt necessary rules.

Section 99. Effective date.

(Propose) This Act takes effect on January 1, 2028.